Box 2.1

1. Agriculture, forestry and fishing
2. Mining and quarry
3. Manufacturing
4. Electricity, gas, water supply and other utility services
5. Construction
6. Trade, repair, hotels and restaurants
7. Transport, storage, communication and service related to broadcasting
8. Real estate, ownership of dwelling and professional services
9. Public administration and defence
10. Financial services
11. Other services

Please don't memorise this list; just have a look at it

There is a difference between tax on products and tax on production. Tax on product includes taxes like sales tax and excise duty. It is the tax imposed as it was produced and sold. Tax on production refers to tax imposed irrespective of production like licence fees and land tax.

Production taxes or subsidies are paid or received with relation to production and are independent of the volume of actual production. Some examples are:

Production Taxes - Land Revenues, Stamps and Registration fees and Tax on profession.

Production Subsidies - Subsidies to Railways, Input subsidies to farmers, Subsidies to village and small industries, Administrative subsidies to corporations or cooperatives, etc.